POSTSCRIPT: A Brief History of Why the U.S. Consumer Thinks the Way They Do

To understand the psychology of the modern consumer and to grasp where they might be heading next, you have to know how they got here.

How *we all* got here.

If you fell asleep in 1945 and woke up in 2020 you would not recognize the world around you.

The amount of economic growth that took place during that period is virtually unprecedented. If you saw the level of wealth in New York and San Francisco, you'd be shocked. If you compared it to the poverty of Detroit, you'd be shocked. If you saw the price of homes, college tuition, and health care, you'd be shocked. If you saw how average Americans think about savings and spending in general, you'd be shocked. And if you tried to think of a reasonable narrative of how it all happened, my guess is you'd be totally wrong. Because it isn't intuitive, and it wasn't foreseeable.

What happened in America since the end of World War II is the story of the American consumer. It's a story that helps explain why people think about money the way they do today.

The short story is this: Things were very uncertain, then they were very good, then pretty bad, then really good, then really bad, and now here we